

U.S. Multi Industry & Electrical Equipment

Post-earnings target price and model updates (TT, JCI, EMR, ROK, PH)



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Post earnings, we are updating our target prices and model assumptions on the following stocks.

TT: Raising TP to \$575. Our adjustment largely comes from modifying the North America growth rate for 3Q/4Q 2026. Beyond 2026, we keep our assumptions unchanged. Incremental margins have been maintained around 25 - 30%. 2026 EPS is now \$15.28 (near the upper end of management guidance range). No change in the multiple (held at 22x EV / EBITDA).

JCI: Raising TP to \$190. Growth in NAMR revised to LDD through FY28. Incremental margins at ~45% for FY26 but tapering to 30% by FY28. Europe growth maintained at LSD; this is where F&S exposure is the greatest and it is a structurally slower growing market. FY26 EPS at \$5.09 vs. \$5.05 guide by management. No change in the multiple (held at 20x EV / EBITDA, roughly a 10% discount to Trane).

EMR: Raising TP to \$186. We raise our multiple from 17x to 18x EV / EBITDA to account for higher growth. We think 4 - 7% through cycle organic is quite credible, especially given strength in T&M and support from LNG / power. Growth assumptions into FY27 are relatively unchanged (CSS at HSD, T&M at LDD, ID at MSD, S&P at LSD).

ROK: Raising TP to \$514. No change in the multiple (held at 23x EV / EBITDA). Price change largely due to rolling over financials to the next quarter. 4Q26 numbers segment growth numbers adjusted to MSD for ID / S&C, LSD for LS. We assume sequential margin growth of 100 bps in ID, sequential decline of 200 bps in S&C, and keep LS margins sequentially constant.

PH: Raising TP to \$1,218. Incremental margins kept at ~35% for FY27, while growth has largely been aligned to guidance (which we do believe is relatively conservative, especially for aerospace where the market certainly expects it to be >10%). Multiple taken up to 22x EV / EBITDA (from 20x) to reflect current valuation.

BERNSTEIN TICKER TABLE

			13 Aug 2026		TTM	Adjusted EPS				Adjusted P/E (x)		
			Closing	Price	Rel.							
Ticker	Rating	Cur	Price	Target	Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
TT (Trane)	O	USD	477.69	575.00	(9.1)%	USD	13.06	15.28	17.79	36.6	31.3	26.8
OLD				555.00				14.98	17.82			
JCI (Johnson Controls)	O	USD	151.45	190.00	23.6%	USD	3.78	5.09	6.35	40.1	29.8	23.8
OLD				173.00				4.97	5.93			
EMR (Emerson)	O	USD	164.21	186.00	1.6%	USD	6.00	6.55	7.23	27.4	25.1	22.7
OLD				169.00				6.48	7.19			
ROK (Rockwell)	M	USD	445.51	514.00	7.6%	USD	10.47	13.13	14.53	42.6	33.9	30.7
OLD				501.00				13.10	14.77			
PH (Parker Hannifin)	O	USD	1,058.87	1,218.00	21.5%	USD	32.31	35.13	38.68	32.8	30.1	27.4
OLD				1,037.00				34.76	38.87			
SPX			7,798.99									

PRICE TARGET CHANGE / ESTIMATE CHANGE IN BOLD

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

PH base year is 2026;

Source: Bloomberg, Bernstein estimates and analysis.

INVESTMENT IMPLICATIONS

We rate TT **Outperform**, TP **\$575**.

We rate JCI **Outperform**, TP **\$190**.

We rate EMR **Outperform**, TP **\$186**.

We rate ROK **Market-Perform**, TP **\$514**.

We rate PH **Outperform**, TP **\$1218**.

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 1: Trane financial summary

Income Statement (M)	FY2021A	FY2022A	FY2023A	FY2024A	FY2025A	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
Americas	10,957	12,641	13,832	15,903	17,169	19,298	21,420	23,562	25,918	28,510
EMEA	1,945	2,035	2,401	2,557	2,802	3,010	3,130	3,256	3,386	3,521
APAC	1,234	1,316	1,444	1,378	1,351	1,467	1,570	1,680	1,797	1,923
Others	-	-	0	-	(0)	-	-	-	-	-
Total revenue	14,136	15,992	17,678	19,838	21,322	23,775	26,121	28,498	31,102	33,955
Total Gross Profit	4,470	4,965	5,857	7,081	7,710	8,470	9,403	10,259	11,197	12,224
Americas	1,768	2,069	2,446	3,039	3,439	3,974	4,572	5,206	5,856	6,441
EMEA	327	310	425	473	479	482	525	571	610	635
APAC	211	232	301	309	308	334	369	408	445	477
Others	-	-	(25)	27	23	53	91	131	167	167
Underlying EBIT	2,069	2,379	2,889	3,487	3,945	4,479	5,150	5,868	6,597	7,244
EBIT margin Americas	16.1%	16.4%	17.7%	19.1%	20.0%	20.6%	21.3%	22.1%	22.6%	22.6%
EBIT margin EMEA	16.8%	15.2%	17.7%	18.5%	17.1%	16.0%	16.8%	17.5%	18.0%	18.0%
EBIT margin APAC	17.1%	17.6%	20.8%	22.4%	22.8%	22.8%	23.5%	24.3%	24.8%	24.8%
Group EBIT margin	14.6%	14.9%	16.3%	17.6%	18.5%	18.8%	19.7%	20.6%	21.2%	21.3%
Net income to shareholders	1,423	1,757	2,024	2,568	2,919	3,357	3,882	4,463	5,081	5,635
Diluted underlying EPS (\$)	6.09	7.37	9.04	11.22	13.06	15.28	17.79	20.65	23.70	26.50
Diluted shares outstanding (m)	242	235	231	228	225	223	220	218	216	214
Balance Sheet (M)	FY2021A	FY2022A	FY2023A	FY2024A	FY2025A	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
PP&E	1,399	1,536	1,772	2,025	2,251	2,483	2,515	2,570	2,625	2,671
Other non-current assets	10,190	11,702	12,522	12,809	13,558	14,915	14,899	14,906	14,915	14,915
Other current assets	4,312	6,379	6,870	7,338	7,863	9,131	9,056	10,484	11,199	11,309
Cash and cash equivalents	2,159	1,221	1,095	1,590	1,763	2,038	2,475	2,293	2,836	3,607
Total assets	18,060	18,082	19,392	20,147	21,421	24,046	23,955	25,390	26,114	26,223
Current liabilities ex-debt	4,402	4,639	5,252	5,617	5,594	7,309	7,097	7,763	7,834	7,561
Total debt	4,842	4,836	4,780	4,770	4,615	4,617	4,617	4,617	4,617	4,617
Pension	811	667	597	562	542	508	508	508	508	508
Other non-current liabilities	1,732	1,834	1,747	1,711	2,070	2,458	2,458	2,458	2,458	2,458
Minorities	17	17	22	30	22	33	39	45	50	56
Total equity ex-minorities	6,256	6,089	6,995	7,457	8,579	9,121	9,236	10,000	10,648	11,024
Total equity and liabilities	18,060	18,082	19,392	20,147	21,421	24,046	23,955	25,390	26,114	26,223
Net debt	2,683	3,616	3,685	3,180	2,852	2,579	2,142	2,324	1,781	1,010
Net debt/ EBITDA	1.1x	1.3x	1.2x	0.8x	0.7x	0.5x	0.4x	0.4x	0.3x	0.1x
Underlying ROIC		15%	18%	19%	22%	24%	24%	26%	28%	30%
Cash Flow Statement (M)	FY2021A	FY2022A	FY2023A	FY2024A	FY2025A	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
Underlying EBITDA	2,364	2,694	3,185	3,846	4,276	4,830	5,542	6,277	6,989	7,647
Working capital	(302)	(509)	(401)	170	(271)	(484)	384	(438)	(398)	(357)
Net capex	(208)	(282)	(292)	(366)	(362)	(343)	(345)	(373)	(383)	(392)
Other cash movements	(2,985)	(2,842)	(2,617)	(3,156)	(3,469)	(3,728)	(4,160)	(4,491)	(4,925)	(5,329)
Change in cash and cash equivalents	(1,131)	(939)	(125)	495	173	274	1,421	974	1,283	1,569

Source: Bloomberg, Company reports, Bernstein estimates and analysis

EXHIBIT 2: JCI financial summary

Income Statement (M)	FY2022A	FY2023A	FY2024A	FY2025A	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
Products	19,274	20,251	15,967	16,124	17,619	19,335	20,968	22,452	23,724
Services	6,025	6,542	6,985	7,472	8,018	8,703	9,457	10,160	10,783
Total revenue	25,299	26,793	22,952	23,596	25,637	28,038	30,425	32,612	34,507
Products	5,741	6,220	5,291	5,581	5,817	6,187	6,710	7,185	7,592
Services	2,602	2,751	2,786	3,011	3,453	3,568	3,877	4,166	4,421
Others	-	-	-	-	(1)	(3)	(3)	(3)	(3)
Total Gross Profit	8,343	8,971	8,077	8,592	9,269	9,753	10,584	11,347	12,010
Underlying EBITDA	3,706	4,102	3,608	3,987	4,740	5,727	6,541	7,183	7,759
Underlying EBIT	2,876	3,279	2,792	3,122	4,030	4,890	5,734	6,394	6,981
Net Income to shareholders	1,532	1,849	1,748	3,510	2,814	3,513	4,214	4,768	5,267
Diluted underlying EPS (\$)	3.01	3.50	3.73	3.78	5.09	6.35	7.65	8.70	9.68
Diluted shares outstanding (m)	698	687	676	654	611	600	590	581	573
Balance Sheet (M)	FY2022A	FY2023A	FY2024A	FY2025A	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
PP&E	3,042	2,374	2,403	2,193	1,996	2,058	2,148	2,256	2,374
Other non-current assets	27,431	31,505	31,516	27,777	27,390	27,058	26,798	26,596	26,440
Other current assets	9,654	10,737	11,179	10,162	11,511	13,603	16,283	19,683	23,443
Cash and cash equivalents	2,031	828	606	379	19	1,591	3,499	6,100	9,167
Total assets	42,158	42,242	42,695	37,939	38,901	40,661	43,081	46,280	49,883
Current liabilities ex-debt	9,705	10,078	10,466	9,652	10,313	10,808	11,297	11,745	12,133
Total debt	8,960	8,824	9,493	9,880	9,475	9,475	9,475	9,475	9,475
Pension	358	252	217	211	177	177	177	177	177
Other non-current liabilities	5,733	5,394	5,158	5,242	5,485	5,485	5,485	5,485	5,485
Minorities	1,134	1,149	1,263	27	34	38	42	46	50
Total equity ex-minorities	16,268	16,545	16,098	12,927	13,417	14,678	16,605	19,351	22,563
Total equity and liabilities	42,158	42,242	42,695	37,939	38,901	40,661	43,081	46,280	49,883
Net debt	6,929	7,996	8,887	9,501	9,456	7,884	5,976	3,375	308
Net debt/ EBITDA	1.9x	1.9x	2.5x	2.4x	2.0x	1.4x	0.9x	0.5x	0.0x
Underlying ROIC		9%	6%	9%	13%	16%	17%	17%	17%
Cash Flow Statement (M)	FY2022A	FY2023A	FY2024A	FY2025A	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
Underlying EBITDA	3,706	4,102	3,608	3,987	4,740	5,727	6,541	7,183	7,759
Working capital	70	(469)	15	408	(805)	(25)	(283)	(352)	(305)
Net capex	(592)	(539)	(518)	(404)	(371)	(505)	(548)	(587)	(621)
Other cash movements	(2,460)	(4,236)	(3,257)	(4,360)	(3,927)	(3,625)	(3,803)	(3,644)	(3,766)
Change in cash and cash equivalents	724	(1,142)	(152)	(369)	(362)	1,572	1,908	2,601	3,067

Source: Bloomberg, Company reports, Bernstein analysis and estimates

EXHIBIT 3: **EMR financial summary**

Income Statement (M)	FY2022A	FY2023A	FY2024A	FY2025A	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
Software and Systems	-	3,817	5,514	5,819	6,256	6,792	7,373	8,004	8,690
Intelligent Devices	-	9,136	9,836	10,086	10,450	10,936	11,482	12,057	12,624
Safety and Productivity	-	2,212	2,142	2,110	2,171	2,236	2,303	2,372	2,443
Eliminations	-	-	-	-	(0)	-	-	-	-
Total revenue	13,804	15,165	17,492	18,015	18,876	19,963	21,158	22,433	23,757
Total Gross Profit	6,306	7,427	8,885	9,519	10,089	10,680	11,425	12,338	13,423
Software and Systems	-	946	1,457	1,778	1,914	2,188	2,421	2,707	3,037
Intelligent Devices	-	2,364	2,618	2,742	2,916	3,106	3,331	3,562	3,778
Safety and Productivity	-	484	477	454	469	490	508	535	563
Eliminations	-	-	-	-	-	-	-	-	-
Underlying EBITA	-	3,794	4,552	4,974	5,298	5,784	6,259	6,803	7,378
EBIT margin software and systems		24.8%	26.4%	30.6%	30.6%	32.2%	32.8%	33.8%	34.9%
EBIT margin intelligent devices		25.9%	26.6%	27.2%	27.9%	28.4%	29.0%	29.5%	29.9%
EBIT margin safety and productivity		21.9%	22.3%	21.5%	21.6%	21.9%	22.0%	22.5%	23.0%
Group EBITA margin	0.0%	25.0%	26.0%	27.6%	28.1%	29.0%	29.6%	30.3%	31.1%
Underlying EBIT	-	2,878	3,052	3,611	4,021	4,464	4,984	5,412	6,010
Net Income to shareholders	3,231	13,219	1,968	2,293	2,758	3,164	3,601	3,951	4,436
Diluted underlying EPS (\$)	4.51	4.45	5.49	6.00	6.55	7.23	8.14	9.06	9.94
Diluted shares outstanding (m)	596	577	574	567	562	555	547	539	531
Balance Sheet (M)	FY2022A	FY2023A	FY2024A	FY2025A	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
PP&E	3,361	2,363	2,807	2,871	2,843	2,816	2,816	2,925	3,065
Other non-current assets	23,805	28,927	34,054	33,381	32,285	31,258	30,258	29,267	28,407
Other current assets	6,702	13,819	10,192	8,583	10,195	12,070	14,305	16,813	19,605
Cash and cash equivalents	1,804	8,051	3,588	1,544	2,440	4,007	5,904	8,086	10,579
Total assets	35,672	42,746	44,246	41,964	42,480	43,328	44,563	46,080	48,012
Current liabilities ex-debt	5,662	4,485	5,210	5,000	5,057	5,126	5,201	5,261	5,300
Total debt	10,374	8,157	7,687	13,116	13,113	13,113	13,113	13,113	13,113
Pension	-	-	-	-	-	-	-	-	-
Other non-current liabilities	3,320	3,506	3,840	3,550	3,516	3,516	3,516	3,516	3,516
Minorities	5,952	5,909	5,873	16	15	15	15	15	15
Total equity ex-minorities	10,364	20,689	21,636	20,282	20,779	21,559	22,719	24,175	26,067
Total equity and liabilities	35,672	42,746	44,246	41,964	42,480	43,328	44,563	46,080	48,012
Net debt	8,570	106	4,099	11,572	10,673	9,106	7,209	5,027	2,534
Net debt/ EBITA		0.0x	0.9x	2.3x	2.0x	1.6x	1.2x	0.7x	0.3x
Underlying ROIC		7%	6%	5%	7%	9%	10%	10%	11%
Cash Flow Statement (M)	FY2022A	FY2023A	FY2024A	FY2025A	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
Underlying EBITA	-	3,794	4,552	4,974	5,298	5,784	6,259	6,803	7,378
Working capital	(275)	(368)	(44)	(138)	(434)	(240)	(262)	(266)	(260)
Net capex	(299)	(363)	(419)	(431)	(386)	(453)	(480)	(509)	(539)
Other cash movements	24	3,184	(8,552)	(6,449)	(3,582)	(3,524)	(3,619)	(3,847)	(4,086)
Change in cash and cash equivalents	(550)	6,247	(4,463)	(2,044)	896	1,567	1,898	2,182	2,493

Source: Bloomberg, Company reports, Bernstein estimates and analysis

EXHIBIT 4: **ROK financial summary**

Income Statement (M)	FY2022A	FY2023A	FY2024A	FY2025A	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
Software and Control	2,313	2,886	2,187	2,383	2,754	2,919	3,065	3,218	3,379
Intelligent Devices	3,545	4,098	3,804	3,756	4,170	4,379	4,598	4,828	5,069
Lifecycle Services	1,903	2,074	2,273	2,203	2,056	1,957	2,016	2,077	2,139
Total revenue	7,760	9,058	8,264	8,342	8,981	9,255	9,679	10,123	10,587
Total Gross Profit	3,102	3,717	3,193	3,337	4,400	4,443	4,646	4,859	5,082
Software and Control	667	953	530	708	922	1,021	1,118	1,185	1,245
Intelligent Devices	718	828	700	676	829	919	1,003	1,061	1,114
Lifecycle Services	158	148	365	319	303	294	308	319	328
Others	(346)	(186)	(341)	(630)	(215)	(185)	(194)	(202)	(212)
Underlying EBIT	1,197	1,744	1,254	1,073	1,840	2,050	2,236	2,362	2,475
EBIT margin Software and Control	28.8%	33.0%	24.2%	29.7%	33.5%	35.0%	36.5%	36.8%	36.8%
EBIT margin Intelligent Devices	20.2%	20.2%	18.4%	18.0%	19.9%	21.0%	21.8%	22.0%	22.0%
EBIT margin Lifecycle Services	8.3%	7.2%	16.1%						
Group EBIT margin	15.4%	19.3%	15.2%	12.9%	20.5%	22.1%	23.1%	23.3%	23.4%
Net Income to shareholders	932	1,387	953	869	1,438	1,514	1,664	1,766	1,856
Diluted underlying EPS (\$)	9.50	12.13	9.81	10.47	13.13	14.53	16.07	17.20	18.24
Diluted shares outstanding (m)	117	116	114	113	112	111	110	109	108
Balance Sheet (M)	FY2022A	FY2023A	FY2024A	FY2025A	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
PP&E	587	684	777	797	867	964	1,056	1,142	1,226
Other non-current assets	6,562	6,393	7,351	7,308	7,142	7,137	7,141	7,154	7,175
Other current assets	3,120	4,911	3,881	3,911	4,045	5,168	6,431	7,790	9,235
Cash and cash equivalents	491	1,072	471	468	596	1,566	2,677	3,878	5,156
Total assets	10,759	11,304	11,232	11,219	11,187	12,306	13,572	14,944	16,410
Current liabilities ex-debt	2,604	3,262	2,526	2,835	2,932	2,994	3,055	3,120	3,187
Total debt	3,836	2,966	3,639	3,224	3,258	3,258	3,258	3,258	3,258
Pension	471	504	549	406	406	406	406	406	406
Other non-current liabilities	831	829	843	1,043	947	947	947	947	947
Minorities	291	182	177	57	-	(8)	(16)	(24)	(32)
Total equity ex-minorities	2,726	3,562	3,498	3,654	3,644	4,708	5,922	7,238	8,644
Total equity and liabilities	10,759	11,304	11,232	11,219	11,187	12,306	13,572	14,944	16,410
Net debt	3,346	1,894	3,168	2,756	2,662	1,692	581	(620)	(1,898)
Net debt/ EBITDA	2.1x	1.0x	1.9x	1.7x	1.2x	0.7x	0.2x	-0.2x	-0.7x
Underlying ROIC			19%	15%	16%	20%	19%	20%	21%
Cash Flow Statement (M)	FY2022A	FY2023A	FY2024A	FY2025A	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
Underlying EBITDA	1,590	1,907	1,663	1,661	2,163	2,444	2,638	2,775	2,899
Working capital	(615)	(385)	(9)	159	(106)	(92)	(90)	(95)	(99)
Net capex	(142)	(161)	(225)	(186)	(249)	(278)	(290)	(304)	(318)
Other cash movements	(1,005)	(788)	(2,039)	(1,637)	(1,681)	(1,105)	(1,146)	(1,176)	(1,204)
Change in cash and cash equivalents	(172)	573	(609)	(3)	128	970	1,111	1,201	1,279

Source: Bloomberg, Company reports, Bernstein estimates and analysis

EXHIBIT 5: PH financial summary

Income Statement (M)	FY2023A	FY2024A	FY2025A	FY2026A	FY2027E	FY2028E	FY2029E	FY2030E	FY2031E
Diversified Industrials	14,706	14,457	13,665	14,438	15,402	16,172	16,981	17,830	18,721
Aerospace systems	4,360	5,472	6,185	7,061	7,696	8,389	9,144	9,967	10,864
Total revenue	19,065	19,930	19,850	21,499	23,099	24,561	26,125	27,797	29,586
Total Gross Profit	6,429	7,128	7,315	8,102	8,898	9,707	10,450	11,119	11,834
Diversified Industrials	3,371	3,497	3,429	3,766	4,092	4,345	4,613	4,898	5,199
Aerospace systems	995	1,457	1,761	2,110	2,318	2,551	2,809	3,091	3,402
Others	-	-	-	-	-	-	-	-	-
Underlying EBITA	4,367	4,954	5,189	5,876	6,410	6,897	7,422	7,989	8,601
EBIT margin Diversified Industrials	22.9%	24.2%	25.1%	26.1%	26.6%	26.9%	27.2%	27.5%	27.8%
EBIT margin Aerospace Systems	22.8%	26.6%	28.5%	29.9%	30.1%	30.4%	30.7%	31.0%	31.3%
Group EBITA margin	22.9%	24.9%	26.1%	27.3%	27.7%	28.1%	28.4%	28.7%	29.1%
EBIT	3,254	4,100	4,515	4,964	5,436	5,895	6,417	6,979	7,587
Net Income to shareholders	2,084	2,845	3,531	3,648	3,951	4,395	4,827	5,273	5,753
Diluted underlying EPS (\$)	21.51	25.39	27.36	32.31	35.13	38.68	42.24	45.93	49.91
Diluted shares outstanding (m)	130	130	130	128	128	127	127	126	126
Balance Sheet (M)	FY2023A	FY2024A	FY2025A	FY2026A	FY2027E	FY2028E	FY2029E	FY2030E	FY2031E
PP&E	2,865	2,876	2,937	3,020	3,305	3,599	3,932	4,307	4,727
Other non-current assets	20,265	22,499	22,544	23,182	22,853	22,547	22,280	22,055	21,874
Other current assets	6,359	6,799	6,950	7,695	10,639	14,143	18,061	22,366	27,091
Cash and cash equivalents	475	422	467	501	2,910	6,040	9,496	13,307	17,504
Total assets	29,964	29,298	29,494	30,877	33,492	36,690	40,341	44,421	48,965
Current liabilities ex-debt	3,972	3,910	4,028	4,342	4,278	4,387	4,545	4,715	4,896
Total debt	12,559	10,560	9,285	8,520	8,520	8,520	8,520	8,520	8,520
Pension	552	437	267	224	224	224	224	224	224
Other non-current liabilities	2,543	2,310	2,223	2,378	2,378	2,378	2,378	2,378	2,378
Minorities	11	9	9	9	9	9	9	9	9
Total equity ex-minorities	10,327	12,072	13,682	15,404	18,083	21,172	24,664	28,575	32,939
Total equity and liabilities	29,964	29,298	29,494	30,877	33,492	36,690	40,341	44,421	48,965
Net debt	12,084	10,138	8,818	8,019	5,610	2,480	(976)	(4,787)	(8,984)
Net debt/ EBITDA	2.7x	2.0x	1.7x	1.3x	0.8x	0.4x	-0.1x	-0.6x	-1.0x
Underlying ROIC			15%	16%	16%	16%	16%	15%	0%
Cash Flow Statement (M)	FY2023A	FY2024A	FY2025A	FY2026A	FY2027E	FY2028E	FY2029E	FY2030E	FY2031E
Underlying EBITDA	4,498	5,094	5,233	5,955	6,601	7,061	7,598	8,177	8,803
Working capital	128	(28)	31	(96)	(595)	(266)	(303)	(324)	(347)
Net capex	(368)	(391)	(403)	(419)	(605)	(614)	(653)	(695)	(740)
Other cash movements	(10,431)	(4,730)	(4,816)	(5,406)	(2,992)	(3,052)	(3,185)	(3,347)	(3,519)
Change in cash and cash equivalents	(6,173)	(54)	45	34	2,409	3,129	3,456	3,811	4,197

Source: Company reports, Bernstein estimates and analysis

DISCLOSURE APPENDIX

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VALUATION METHODOLOGY**Trane Technologies PLC**

We value Trane at 22x NTM + 1 EBITDA of \$5.9B to reach our target price of \$575.

Johnson Controls International PLC

We value JCI using a 20x EV/EBITDA ratio and an NTM + 1 EBITDA estimate of \$5.3B to reach our target price of \$190.

Emerson Electric Co

We value Emerson using an 18x EV/EBITDA ratio and an NTM + 1 EBITDA estimate of \$6.3B to reach our target price of \$186.

Rockwell Automation Inc

We value Rockwell using a 23x EV/EBITDA ratio and an NTM + 1 EBITDA estimate of \$2.6B to reach our target price of \$514.

Parker-Hannifin Corporation

We value Parker-Hannifin using a 22x target EV/EBITDA multiple and an NTM + 1 EBITDA estimate of \$7.9B to reach our target price of \$1,218. This includes estimated cashflows + debt from FG and Circor acquisitions.

RISKS**Trane Technologies PLC**

Downside: (i) Price fixing lawsuit escalates for Trane, (ii) More players achieve similar level of product innovation in CDUs / broader liquid cooling, (iii) Residential / transport numbers deteriorate further than expected, (iv) Chiller headwinds (both sales and service) outweigh liquid cooling tailwind

Johnson Controls International PLC

Downside: Lean transformation does not successfully cascade through org., Data center weakness from chiller headwinds, Operating leverage <50% based on management guidance

Emerson Electric Co

Downside: (i) Weakness in semiconductors / delays in LNG and power projects (all of which are key EMR growth vectors) (ii) AI-replacement threat materializes for EMR software (iii) Weakness in incremental margins (impacts margin expansion story)

Rockwell Automation Inc

Upside: (i) Continued support from reshoring / CapEx cycle, (ii) ARR growth reaches double-digits and stays there, (iii) Structural margin growth in intelligent devices segment

Downside: (i) CapEx projects continued to be delayed, or reshoring peters out, (ii) Prolonged weakness in ARR (indicating service demand has not materialized), (iii) Cost-take out initiatives do not expand margins

Parker-Hannifin Corporation

Downside: (i) Weak integration of FG / Circor acquisition, (ii) Any growth risks; given high multiple cracks to growth thesis will cause stock down-rate, (iii) Elevated oil prices impacting outlook for aero. aftermarket

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION**EQUITY RATINGS DEFINITIONS****Bernstein brand**

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIAX) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

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Bernstein brand stock ratings are based on a 12-month time horizon.

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The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 600 Financials Price Return Index (E600BK) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 600 Insurance Price Return Index (E600IN) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments, and the Bloomberg Japan Financials Large & Mid Cap Price Return Index (JPFILM) for Japanese Financials. Ratings are stated relative to the sector (not the market).

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Autonomous credit ratings are based on a 6-month time horizon.

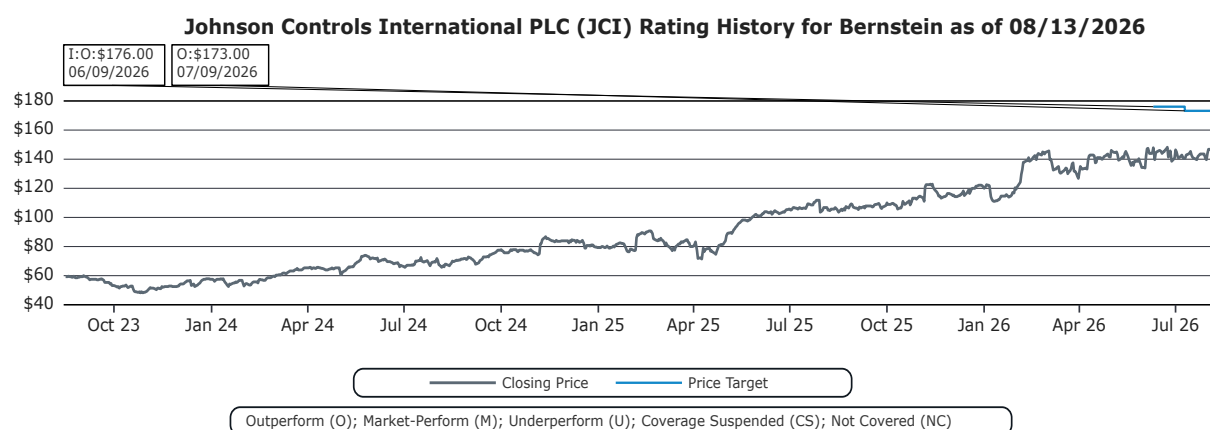
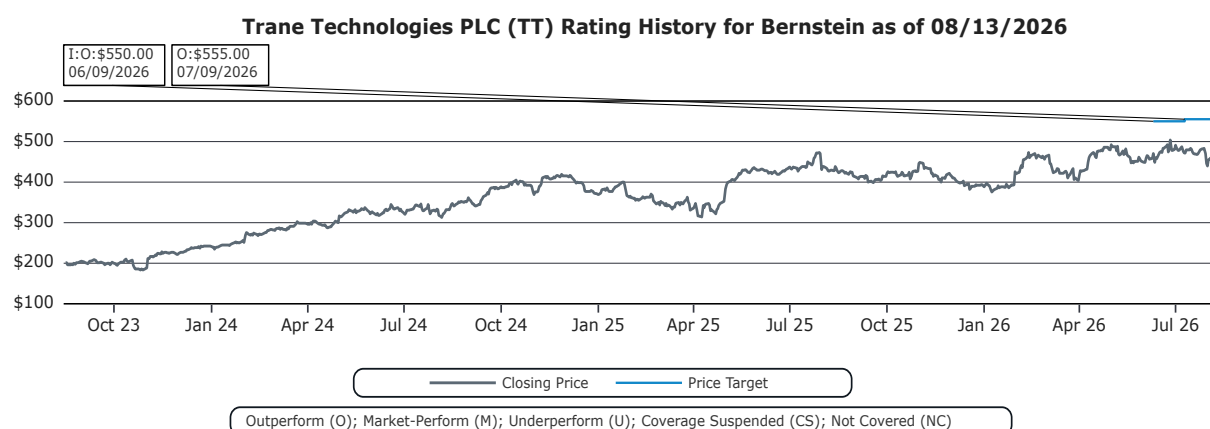
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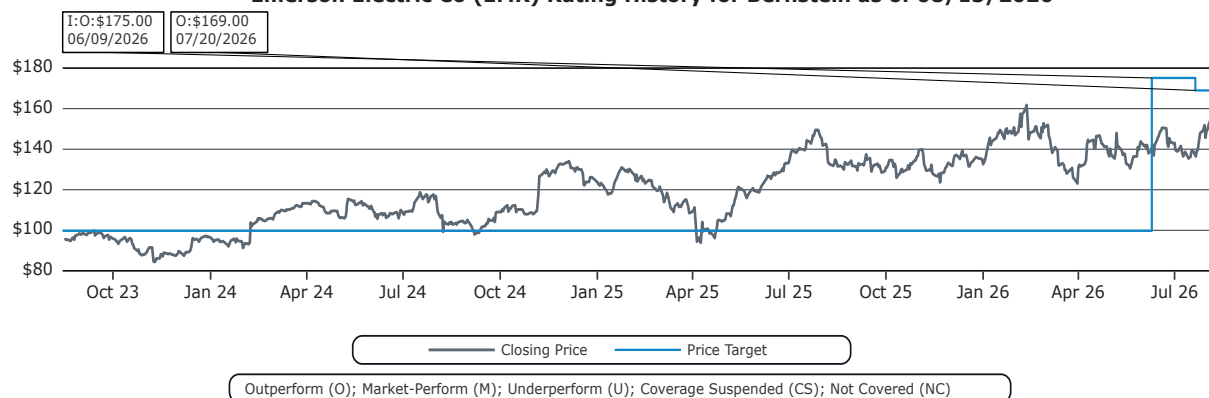
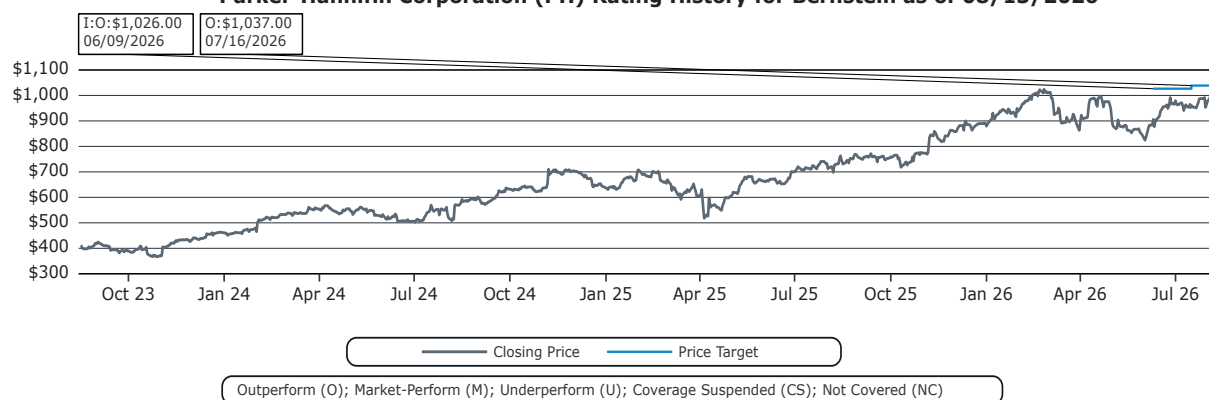
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Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	35.8%	16.2%
Underperform	SELL	13.1%	13.6%

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Emerson Electric Co (EMR) Rating History for Bernstein as of 08/13/2026**Rockwell Automation Inc (ROK) Rating History for Bernstein as of 08/13/2026****Parker-Hannifin Corporation (PH) Rating History for Bernstein as of 08/13/2026**

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